



Minions were meant to be bad

Mc. Donald's new happy meal toy minion is more evil than they seem to be in the movies. Read more: <http://dgit.in/miniontalk>



Speciality in advertising

Facebook is now changing it's policy for ads that have external links <http://dgit.in/newadsrule>

Smart SoHo

Minimum Viable Product (MVP)

Next, you move to the commercial launch with the "minimum viable product" or "MVP" (since techies just love acronyms). To ensure users are aware about your product, you must start marketing your product through the channels identified during the earlier stages. By this time, you've gone through several product iterations, incorporating the suggestions gleaned from the market research, beta testing and your own ideas. Now the product is ready to be released to the public. This is the acid test. Now the horrid waiting period starts as you wait for your first non-focus group consumer.

Remember, there still might be some flaws in the product so continue testing it. It is called minimum viable product for a reason. Vinay Rao suggests, "Once the people are onto your platform, it's super important to keep measuring". Keep running analytics, understand the consumer's needs – they're always dynamic. Keep improving it. At no point in time throughout the life of the product can you say "That's it. It's done!". "No more developments, no more changes". That's a death knell. You need to keep innovating and evolving. Don't be anchored to your original idea, be prepared to cut down on features. Be brutally honest with yourself about the product. Emotional attachment to the company is good but it shouldn't translate to blind faith of the product. When Kevin Systrom and Mike Krieger were developing Instagram, they reduced more features than they added. In fact, their original idea included check-ins to locations and future check-ins (make plans), among other things – all of which were scrapped till they were left with a neat photo-sharing app.

How funding works

Apart from the fact that it's currently the cool thing to do, the reason for funding is more primeval – to earn a profit. Before any funds are invested into it, your company is assigned a valuation called "Pre-money valuation". "Post money" is a simple addition of pre-money valuation and funds invested.

As you can see in the table, at the end of Year Five, when the VC steps in, the angel investor's equity stake has gone down to 15%, however its value has increased to Rs.6 crore.

Various stages of the funding process

The funding process/lifecycle is pretty straightforward: pitch, discussions, term sheet, final agreements and eventual exit. The pitch is where you initially present the idea to the investors. If they're interested, you discuss the business in greater detail. Once they're onboard, they'll give you a term sheet. A term sheet is a non-binding (i.e. non-enforceable document) that outlines the terms under which the funding will take place, the amount, equity, corporate governance etc. This document provides a broad overview of the basic points of the deal without going into its nitty gritty details. As such, it's the most important document before the actual agreement. You can check out a term sheet generator here: <https://goo.gl/tuuggW> (Didn't we say we were pro-convenience?) Although it's more US-centric, you'll still understand the various points you'll need to think about. Post this, you enter into the final negotiations and eventually sign the final agreement.

In case of exit...

Be careful while choosing the investor. You don't jump in with your eyes closed into a marriage; this is no different. The last thing you want to do is work with an investor who doesn't share your vision, is too controlling and isn't in it for the long haul. It's a good idea to have a buyback clause in the agreement. This essentially means that after a certain agreed upon period known as the "lock-in period", you can buy back the investor's stake.

Of course, this isn't the only exit strategy that the investor has in place. Another one of the three ways in which this can be done is for the investor to wait for

someone else to come in and buy them out. For example, 'Taxi for Sure' was acquired by 'Ola Cabs'. Other methods include an IPO or a VC. The surest and fastest way is by buyout by a VC, however, this doesn't usually happen at the Series A funding stage (the first round of VC funding). A new investor coming in would obviously not want the money to go out of the company to line somebody else's pockets, they'd want it to be used for growth. Plus, it gives them assurance of quality if the previous investor stays put. Of course, there would be a dilution of everyone's stake.

Safeguarding your company

On the subject of stake, one burning question you'd have by now is "How much stake should I, as the promoter, keep?" To some extent, it depends on your product

Year	Stage	Valuation (in Crores [INR])	Stake
Year 0	Pre-money	4.00	
Year 0	Angel Funding	1.00	
Year 0	Post money - 400+100	5.00	
Year 0	Angel stake - 100/500		20%
Year 5	Pre-money -	30.00	
Year 5	VC Funding	10.00	
Year 5	Post money - 30+10	40.00	
Year 5	VC stake - 10/40		25%
Year 5	Revised Angel equity - 40*20%	6.00	
Year 5	Revised Angel stake - 6/40		15%

and market, and to a large extent on the industry norms. An angel investor typically takes around 15% - 25% stake in the company and a VC around 30% - 40%. At the time of VC funding, the promoters should hold around 50% - 60% stake in the company. Thankfully, due to the upsell requirements, there's little risk of the angel investor trying to undercut the promoters.

To benefit from returns, VCs need to invest, so they'll invest only if there's a great story. So, what makes a story great? A ginormous factor that determines this is the promoter's continued interest in the welfare of the business, which happens only if (yes you got it) they have a substantial piece of the pie. Another factor is an option pool, usually of around 10%. These are employee stock options that you provide to your early employees as an